

ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

MARKING SCHEME

NOVEMBER 2020 SESSION

ACCOUNTING

6001/3

Derby Limited

1 (a) (i) Journal entries for correction of errors.

		\$	\$
1.	Office furniture Purchases	3 700	3 700 (1)
	Income statement (P&L) Provision for depreciation	740	740 (1)
2.	Suspense Sales	500	500 (1)
3.	Rent payable Rent receivable Suspense	420 420	840 (1)
4.	Trade payables (creditors) Purchases	270	270 (1)
5.	Bank charges Suspense	150	150 (1)
6.	Suspense Amos (taking credit for missing suspense)	40	40 (1)
7.	Suspense		350 (1)

no mark if can't write something on the Dr

No splitting of marks

[8]

(ii)

Suspense account			
	\$		\$
Accept Bld- Difference per trial balance	800 (1)	Rent payable.	420 (1)
Sales	500 (1)	Rent receivable.	420 (1)
Amos	40 (1)	Bank charges	150 (1)
		Increase in trade receivables	350 (1)
	<u>1 340</u>		<u>1340</u>

Should not correct

6 [6]

(b) A statement of corrected net profit

	Decrease \$	Increase \$	\$
Net profit per draft Income Statement			8 700
Decrease in Purchases		3 700 (1)	
Depreciation – office furniture	740 (1)		
Increase in sales		500 (1)	
Reduction in purchases		270 (1)	
Bank charges	150 (1)		
Rent received	420 (1)		
Rent paid	420 (1)		
	<u>1 730</u>	<u>4 470</u>	<u>2 740</u>
Corrected net profit			<u>11 440</u> (1) OF

based on journal entries making

[8]

Alternative 1(b) Calculation of corrected net profit

	\$
Unadjusted net profit	8 700
Purchases overcast	3 700 (1)
Depreciation of furniture omitted	(740) (1)
Sales undercast	500 (1)
Rent receivables overcast	(420) (1)
Rent payable undercast	(420) (1)
Purchases overcast	270 (1)
Bank Charges not posted	(150) (1)
Corrected net profit	<u>11 440</u> (1) OF

narrative should be there

[8]

(c)

A statement of corrected working capital

	Decrease \$	Increase \$	\$
Working Capital per draft			10 950
Decrease in Trade payables		270 (1)	
Increase in Trade payables - Amos	40 (1)		
Increase in Trade receivables	<u>40</u>	<u>350</u> (1)	<u>580</u>
Corrected Working Capital		<u>620</u>	<u>11 530</u>

[3]

Calculation of Working Capital

Working capital per draft
Trade payables overcast
Amos' account undercast
Trade receivables undercast
Corrected Working capital

\$	
10 900	
270	(d)
(40)	(u)
350	(u)
<u>11 530</u>	

3

[3]

25

2 Workings

Trade receivable control

\$		\$	
Balance b/d	7 000	Bank	16 000
Credit sales	<u>17 200</u>	Balance c/d	<u>8 200</u>
	<u>24 200</u>		<u>24 200</u>

Trade payables control account

\$		\$	
Bank	20 800	Balance b/d	3 500
Balance c/d	<u>4 250</u>	Purchases	<u>21 550</u>
	<u>25 050</u>		<u>25 050</u>

Electricity account

\$		\$	
Bank	630	Balance b/d	105
Balance c/d	<u>210</u>	Income statement	<u>735</u>
	<u>840</u>		<u>840</u>

Motor Vehicles

\$		\$	
Balance b/d	32 000	Disposal	12 000
Bank	<u>10 500</u>	Balance c/d	<u>30 500</u>
	<u>42 500</u>		<u>42 500</u>

Provision for depreciation

\$		\$	
Disposal	4 500	Balance b/d	8 600
Balance c/d	<u>9 200</u>	Balance c/d	<u>5 100</u>
	<u>13 700</u>		<u>13 700</u>

Motor Vehicles Disposal account

	\$		\$
Motor vehicles	12 000	Depreciation	4 500
Income statement	<u>2 700</u>	Bank	<u>10 200</u>
	<u>14 700</u>		<u>14 700</u>

Purchases Account

	\$		\$
Control	21 550	Drawings	4 200
	<u>21 550</u>	Income Statement	<u>17 350</u>
			<u>21 550</u>

Statement of affairs as at 1 January 2017

	\$	\$
<u>Assets</u>		
Premises	28 000	
Machinery	17 500	
Motor vehicles (3 200 – 8 600)	23 400	
Trade receivables	7 000	
Inventory	5 400	
Bank	9 380	
Cash	<u>100</u>	
		90 780
<u>Liabilities</u>		
Trade payables	3 500	
Rent owing	480	
Electricity owing	<u>105</u>	
Capital 1 January 2017		<u>4 085</u>
		<u>86 695</u>

2
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2 (a) (i) Kundai

Income statement for the year ended 31 December 2017

	\$	\$
15 700 (2) + 15 200 (1) + 5 460 (1) - 1 500 (1) or Sales (17 200 (1) + 15 200 (1) + 5 460 (1) - 1 500 (1) or		36 360 (4)
Less cost of sales		
Opening Inventory	5 400	
Add Purchases (21 500 (1) - 4 200 (1) or	17 350 (2)	
	22 750	
Less: closing Inventory (0.8 × 9 375 + 1 200 (1) or	8 700 (2)	14 050
Gross profit		22 310
Other incomes		
Profit on disposal of motor vehicle		2 700 (1)
		25 010
Less expenses		
Loan interest	900 (1)	
Rent ($\frac{3 855 - 480}{15} \times 12$)	2 700 (1)	
Depreciation – machinery (17 500 – 15 950)	1 550 (1)	
Motor vehicles	5 100 (1)	
Electricity	735 (1)	
Insurance	1 700	
Wages and salaries	9 500	22 185
Net profit		2 825
		(14)

(ii)

Statement of financial position as at 31 December 2017.

	Decrease	Increase	
	\$	\$	\$
<u>Non-Current assets</u>			
Premises			28 000
Machinery			15 950
Motor vehicles	30 500		
Less Provision for depreciation	<u>9 200</u>		<u>21 300 (1)</u>
Reduction in purchases			65 250
<u>Current assets</u>			
Trade Inventory		8 700 (1)	
Trade receivables (8 200-1500)		6 700 (1)	
Rent prepaid		675 (1) mbc	
Bank		12 995	
Cash		<u>100</u>	<u>29 170</u>
Total assets			<u>94 420</u>
<u>Equity and liabilities</u>			
Capital			86 695 (2)
Add net profit			<u>2 825 (1) OFC from Ind AS 2</u>
			89 520
Less drawings (105×52) + (4 200)			<u>9 660 (1)</u>
			79 860
Non-Current liabilities - Loan			10 000
<u>Current Liabilities</u>			
Loan interest		100 (1)	
Trade payables		4 250	
Electricity owing		210	<u>4 560</u>
Total Equity and liabilities			<u>94 420</u>

[9]

(c) Disadvantages of Incomplete records accounting system.

- Vital information such as amount owing trade receivables and amounts owing to trade payables. (1) may not be readily available
 - Absence of nominal accounts renders the production of profit or loss Statements difficult if not impossible. (1)
 - Absence of real accounts makes the production of a reliable statement of financial position difficult. (1)
 - Arithmetic checks derived from trial balance are not possible. (1)
- (V) Production of financial statements may be time consuming. (max 2)

- 3 (a) The profitability of ABC Ltd has worsened (1) in 2015. This is shown by a decrease in gross profit percentage by 10%. This can be due to an increase in the cost of sales (1) or a decrease in the selling price.

Expenses as a percentage of sales. The percentage increased (1) by 18%. It can be due to an increase in expenses. (1) This has resulted in profitability worsening. 1

The rate on inventory turnover has improved two times. (1) This increase in the rate of turnover may be a result of price cutting. (1) This indicates that a smaller gross profit is being earned. AS indicated by

The liquidity position of ABC Ltd has worsened (1) in 2015 as compared to 2014. It has fallen from 2:1 to 1:1. It is below the bench mark of 2:1. This implies that the firm is going to have challenge in meeting its short term obligations or liabilities. (1)

The acid test ratio shows that liquidity has worsened. (1) It has decreased from 1.5:1 to 0.7:1. The ratio of 0.7:1 is unhealthy for the business. It will not be able to meet its short-term obligations. 10

(b) Interest cover = $\frac{\text{Profit from operations}}{\text{Interest payable}}$

= $\frac{800\,000}{200\,000}$

= 4 times (1)

(1) 2 marks on final Answer M.B.C.

(i) Dividend cover = $\frac{\text{Profit available to pay ordinary dividend}}{\text{ordinary dividend paid}}$

= $\frac{600\,000}{250\,000}$

= 2.4 times (1)

(1) 2 M.B.C.

(ii) Earnings per share = $\frac{\text{profit attributable to equity holders}}{\text{number of ordinary shares issued}}$

= $\frac{600\,000}{480\,000}$

= \$1.25 or 125 cents (1)

(1) 2 M.B.C.

(iii) Price-earnings ratio = $\frac{\text{market price of share}}{\text{Earnings per share}}$

= $\frac{2}{1.25}$

= 1.6 (1)

accept without unit for this one.

2 M.B.C.

1.6 times accept

(iv) Dividend yield = $\frac{\text{Dividend per share}}{\text{market price per share}}$

Accept years

$$\text{Dividend per share} = \frac{250\,000}{4\,800\,000}$$

$$= \$0.052 \quad (1)$$

$$\text{Dividend yield} = \frac{0.052}{2} \times 100 \quad (1)$$

$$= 26\% \quad (1)$$

3 marks MBC

$$(v) \quad \text{Gearing ratio} = \frac{\text{Fixed cost capital}}{\text{Total capital}}$$

$$= \frac{2\,000\,000}{4\,800\,000 + 2\,000\,000} \times 100\%$$

$$= 26.67\% \quad (1)$$

workings
2 marks
MBC

[14]

(c) **Limitations of accounting ratios**

- (i) Ratios do not explain the causes of the changes in the results but may indicate areas of concern. (1)
- (ii) Ratios do not recognise seasonal factors in business. (1)
- (iii) Some useful information may not be disclosed in the accounts (1)
- (iv) Ratios can only be used to compare businesses in the same line of business | /scale
- (v) The accuracy of ratios depends on the quality of information used to calculate the ratios (1)
- (vi) Ratios can be misleading if they are not adjusted for inflation (1)
- (vii) Accounts record only those aspects of the business which can be expressed in monetary terms. Therefore, the ratios do not give a complete picture of the business. (1)

Ratios can also be affected by window dressing
Max 2

25

4 (a) (i)

**Calculation of Payback Period
Transport project**

	Cashflows	Balance
Year 0	(700 000)	(700 000)
Year 1	266 000	(434 000)
Year 2	226 000	(208 000)
Year 3	216 000	
Year 4	196 000	
Year 5	216 000	

$$\text{Therefore, Payback Period} = 2 + \frac{208\,000}{216\,000} \quad (1)$$

$$= 2.96 \quad (1)$$

~~= 3 years~~ (1) do not accept rounded

2 yrs 11, 6 months accept this one

Construction Project

	Cashflows	Balance
Year 0	(700 000)	(700 000)
Year 1	234 000	(466 000)
Year 2	244 000	(222 000)
Year 3	254 000	
Year 4	204 000	
Year 5	214 000	

$$\text{Payback period} = 2 + \frac{222\,000}{254\,000} \quad (b)$$

$$= 2,87$$

~~= 2,9 years (1)~~

2 years 10,5 months or 11 months accept.

(ii)

For the transport business

	Profit	Depreciation	Cashflows	Present value
Year 0	-	-	(700 000)	(700 000)
Year 1	130 000	136 000	266 000	237 538 (1) o.f
Year 2	90 000	136 000	226 000	180 122 (1) o.f
Year 3	80 000	136 000	216 000	153 792 (1) o.f
Year 4	60 000	136 000	196 000	124 656 (1) o.f
Year 5	80 000	136 000	216 000	122 472 (1) o.f
			NPV =	118 580 (1) o.f

For the construction company

	Profit	Depreciation	Cashflows	Present value
Year 0	-	-	(700 000)	(700 000)
Year 1	100 000	134 000	234 000	208 962 (1) o.f
Year 2	110 000	134 000	244 000	194 468 (1) o.f
Year 3	120 000	134 000	254 000	180 848 (1) o.f
Year 4	70 000	134 000	204 000	129 744 (1) o.f
Year 5	80 000	134 000	214 000	121 338 (1) o.f
			NPV =	135 360 (1) o.f

indicate NPV
check cashflows in ascending order

provided it's indicated

(discounting should be done)

- (b) Calculation of the internal rate of return (IRR) for construction project
Present values at the rate of 20%

	Cashflow	Discounting factor	Present value
Year 0	(700 000)	1	(700 000)
Year 1	234 000	0,833	194 922 (1) 0,1 F
Year 2	244 000	0,694	169 336 (1) 0,1 F
Year 3	254 000	0,579	147 066 (1) 0,1 F
Year 4	204 000	0,482	98 328 (1) 0,1 F
Year 5	214 000	0,402	86 028 (1) 0,1 F
		Net present value	(4 320) (1) 0,1 F

$$\text{Internal rate of return} = a + b \times \frac{c}{d}$$

$$= 12 + 8 \times \frac{135\,360}{139\,680}$$

$$= 12 + 7,75$$

$$= 19,75\% (1) 0,1 F$$

[7]

- (c) Shamiso should choose the construction project (1) 0,1 F in line with the candidate's calculation
- (i) It has a shorter payback period (1) 0,1 F
- (ii) It has a higher net present value (1) 0,1 F
- IRR greater than cost of capital. 2

Max 2

25